

Comprehensive Wealth Plan

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Executive Summary

Year-One Combined Benefit

\$118,400 - \$330,400

Tax Savings + Cash Flow + Business Income

This comprehensive wealth plan addresses your immediate challenge of transitioning from high W-2 income to a sustainable retirement bridge strategy. Following your recent job termination, we've designed an aggressive implementation roadmap focused on three critical objectives: generating immediate income streams through short-term rental arbitrage and technology consulting, eliminating your \$30,000 year-end tax liability through strategic equipment purchases and business deductions, and positioning your portfolio for tax-advantaged retirement within the next 5-7 years.

Your plan leverages eight high-impact strategies selected specifically for your profile: married filing jointly, \$300K+ historical income, \$100-249K liquid capital, 15+ hours weekly availability,

spouse and adult children ready to participate in business activities, and established entity infrastructure with two Georgia LLCs and a Wyoming holding company. The cornerstone strategy combines short-term rental arbitrage with Real Estate Professional status to generate both monthly cash flow (\$2,000-4,000 per property) and substantial tax deductions (\$15,000-80,000 annually) against any future W-2 income you secure during your job search.

Current Position Analysis

AGE & STATUS 58 years old, Married Filing Jointly	LOCATION Newnan, Georgia
HISTORICAL INCOME \$300,000+ (W-2 technology role)	CURRENT STATUS Transition Phase - Job Search Active
TAX SITUATION \$30,000 liability (2025 tax year)	LIQUID CAPITAL \$100,000 - \$249,000
RETIREMENT ACCOUNTS \$500,000+	HOME EQUITY \$800,000 (owned free and clear)
BUSINESS STRUCTURE Tech Consulting LLC (GA), Real Estate LLC (GA), Holding Company (WY)	WEEKLY AVAILABILITY 15+ hours for wealth-building activities
SPOUSE AVAILABILITY	FAMILY RESOURCES

10+ hours weekly for business participation

Adult children available for business roles

Tax Profile

Tax Component	Rate	Notes
Federal Marginal Rate	35%	\$300K+ income (MFJ)
Georgia State Tax	5.75%	Maximum state rate
Combined Effective Rate	40.75%	Federal + State combined
Self-Employment Tax	15.3%	Consulting income (before S-Corp)

Critical Observations

- Immediate Tax Liability:** \$30,000 owed for 2025 tax year with only \$10,000 in existing business write-offs secured, requiring aggressive year-end deduction strategies
- Income Transition:** Moving from stable \$300K+ W-2 to variable consulting and rental income requires careful planning to maintain lifestyle and build sustainable revenue streams
- Age-Optimal Timing:** At 58, you have a critical 5-7 year window to implement wealth strategies before traditional retirement age, making immediate action essential
- Underutilized Assets:** \$800K home equity, established entity structure, and family member availability create significant tax optimization opportunities currently untapped

- **Portfolio Concentration:** Large technology stock position from former employer creates concentrated risk and capital gains tax exposure requiring strategic repositioning

Primary Financial Goals

1. **Immediate Cash Flow Generation:** Establish multiple income streams to replace W-2 income during job search and early retirement transition
2. **Tax Liability Elimination:** Deploy strategic deductions to offset the \$30,000 tax liability before year-end 2025
3. **Asset Protection:** Secure existing \$500K+ retirement accounts and \$800K home equity through proper structuring and diversification
4. **Portfolio Repositioning:** Gradually convert concentrated tech stock holdings into diversified assets (Bitcoin, real estate, index funds) in a tax-efficient manner
5. **Retirement Bridge Strategy:** Create sustainable income of \$80,000-120,000 annually through consulting and rental income to bridge to age 65-67

30-Day Implementation Checklist

Week 1: Immediate Actions (Days 1-7)

DAY 1-2: File S-Corporation election (Form 2553) for your Technology Consulting LLC with IRS. This election saves \$3,000-12,000 annually in self-employment taxes and must be filed immediately to be effective for 2026.

DAY 3-4: Purchase necessary technology equipment under Section 179 deduction (approximately \$30,000 in computers, cameras, video equipment). This directly addresses your \$30,000 tax liability by creating immediate business deductions.

DAY 5-6: Open separate business checking accounts for each entity if not already established. Ensure clean separation between Technology Consulting LLC, Real Estate LLC, and Wyoming Holding Company operations.

DAY 7: Schedule comprehensive tax planning meeting with your CPA to review entity structure optimization, discuss S-Corp reasonable compensation ranges, and confirm Section 179 equipment purchase documentation requirements.

Week 2: Documentation & Setup (Days 8-14)

DAY 8-9: Document your home office with photographs, precise measurements, and floor plans. Calculate square footage used exclusively for business (300 sq ft maximum for simplified method, unlimited for regular method). Create detailed expense allocation spreadsheet.

DAY 10-11: Research comparable rental rates for homes in Newnan, GA area to establish fair market value for Augusta Rule implementation. Create formal rental agreements between your businesses and yourself as property owner. Schedule 14 days of legitimate business meetings throughout 2026.

DAY 12-13: Initiate Backdoor Roth IRA contributions for both you and your spouse (\$7,000 each = \$14,000 total). Contact current IRA custodian to process non-deductible Traditional IRA contributions followed by immediate Roth conversions. Verify no existing Traditional IRA balances that would trigger pro-rata rules.

DAY 14: Set up comprehensive expense tracking system using QuickBooks Online or similar platform. Create separate tracking categories for each business entity, home office expenses, vehicle expenses, equipment purchases, and professional development costs.

Week 3: STR Property Sourcing (Days 15-21)

DAY 15-17: Research short-term rental markets within 2-hour radius of Newnan (Atlanta suburbs, North Georgia mountains, Savannah). Identify 5-8 potential properties for arbitrage model. Focus on 2-3 bedroom units in high-demand areas with existing furniture or landlords open to arbitrage arrangements.

DAY 18-19: Run detailed pro-forma analysis on top 3-5 property candidates. Calculate expected occupancy rates (use AirDNA or similar), nightly rates, cleaning costs, utilities, property management, and net monthly cash flow. Target properties generating \$2,000-4,000 net monthly per unit.

DAY 20: Connect with property management software providers (PriceLabs for dynamic pricing, Hospitable for guest communication, Properly for cleaning coordination). Set up trial accounts and familiarize yourself with platforms before property acquisition.

DAY 21: Meet with real estate attorney to review lease assignment clauses and subletting permissions. Ensure lease agreements permit short-term rental operation. Discuss liability protection through proper entity structure and insurance requirements.

Week 4: Launch Execution (Days 22-30)

DAY 22-24: Execute lease agreement on first short-term rental property. Negotiate landlord permission for arbitrage model, establish monthly lease rate, and secure property with first month's rent plus security deposit (typically \$5,000-10,000 total per property).

DAY 25-26: Order furniture and furnishings for STR property (budget \$20,000-35,000 per unit for quality furnishings). Work with interior designer or use STR-specific furnishing services. Focus on durable, attractive pieces that photograph well and withstand high turnover.

DAY 27-28: Establish management company structure with your spouse and adult children on payroll. Document specific roles (your spouse: primary STR manager, children: turnover coordination, marketing, maintenance assistance). Set market-rate compensation based on actual hours worked and responsibilities.

DAY 29: Schedule cost segregation study for STR property to be completed after furnishing installation. Interview 2-3 qualified cost segregation firms, obtain quotes (\$3,000-6,000 typical for residential property), and select provider based on experience with short-term rentals.

DAY 30: Create comprehensive time tracking system for Real Estate Professional status qualification. Both you and your spouse must track all real estate-related hours (property research, showings, management, maintenance, bookkeeping, marketing) to document 750+ hours annually and material participation in each property.

Tax Optimization Strategies

Your wealth plan incorporates eight high-impact tax strategies selected specifically for your profile, income level, business structure, and available time. Each strategy has been evaluated for implementation complexity, return on investment, and alignment with your primary goals of income generation and tax reduction. The strategies are presented in priority order based on immediate impact and ease of implementation.

Priority	Strategy	Annual Value	Implementation
1	Short-Term Rental + REP Status	\$15,000 - \$80,000	Immediate
2	S-Corporation Election	\$3,000 - \$12,000	Week 1
3	Cost Segregation Study	\$20,000 - \$75,000	Q1 2026
4	Section 179 Equipment	\$8,000 - \$12,000	Immediate
5	Home Office Deduction	\$1,600 - \$2,400	Week 2
6	Augusta Rule (14-Day Rental)	\$2,800 - \$6,000	Q1 2026
7	Backdoor Roth IRA (Both Spouses)	\$14,000 + Growth	Week 2
8	Management Company Structure	\$4,000 - \$15,000	Q2 2026

Year-One Tax Strategy Value

\$54,400 - \$202,400

Combined Annual Tax Savings From All Strategies

Detailed Strategy Implementation

Strategy #1: Short-Term Rental + Real Estate

Professional Status - \$15,000-\$80,000

Overview: Short-term rental arbitrage combined with Real Estate Professional (REP) status creates the foundation of your retirement income strategy. This powerful combination generates both immediate monthly cash flow (\$2,000-4,000 per property) and substantial tax deductions that can offset any future W-2 income you secure. For your situation at age 58 with immediate income needs and available time, this strategy provides the dual benefit of replacing lost salary while creating deductions against your historical \$300K+ earnings level.

Implementation:

- 1. Property Acquisition (Days 15-30):** Identify and lease 2-3 residential properties in high-demand short-term rental markets within 2-hour radius of Newnan, GA. Focus on arbitrage model where you lease furnished or unfurnished properties, then sublet on Airbnb/VRBO. Typical setup: \$25,000-35,000 per property for furniture, first month's rent, security deposit, and initial marketing.
- 2. Material Participation Documentation (Ongoing):** Track all time spent on each property using detailed time logs. You must spend more than 100 hours AND more than any other person on each property annually. Activities include: property research, showings, guest communication, cleaning coordination, maintenance, bookkeeping, marketing, and strategic planning. Both you and your spouse can independently qualify.
- 3. REP Status Qualification (Year-Round):** Either you or your spouse must spend 750+ hours annually in real property trades or businesses AND this must represent more than 50% of all working hours for that spouse. Given your job search situation and spouse's 10+ hour weekly availability, your spouse is positioned to achieve REP status, unlocking the ability to deduct rental losses against any W-2 income.
- 4. Average Stay Requirement:** Ensure average guest stay is less than 7 days by monitoring booking patterns. Most Airbnb/VRBO bookings naturally fall into 2-4 night stays. Provide substantial services including cleaning between all stays, fresh linens, toiletries, and concierge-style local recommendations to meet IRS requirements.
- 5. Cost Segregation Integration (Month 2-3):** After furnishing each property, commission cost segregation study to accelerate depreciation. Typical residential STR property: \$50,000-80,000 in accelerated depreciation year one from furniture, appliances, flooring, landscaping, and building components reclassified to 5, 7, and 15-year property lives.

Requirements: Detailed contemporaneous time logs for both spouses, lease agreements permitting subletting, substantial services documentation, average stay calculations, separate Schedule E for each property, Form 8582 for passive activity reporting.

Value: Conservative: \$15,000 in deductions from one property with basic participation | Aggressive: \$80,000+ with two properties, full REP qualification, and cost segregation |

Priority: Highest - combines income generation with tax savings | **Timeline:** REP status determined at year-end based on annual hours, making immediate implementation critical for 2026 benefits.

Strategy #2: S-Corporation Election - \$3,000-\$12,000

Overview: Electing S-Corporation status for your Technology Consulting LLC immediately reduces self-employment taxes by allowing you to split income between reasonable W-2 salary (subject to FICA) and distributions (not subject to FICA). At your income level with consulting revenue, this election saves \$3,000-12,000 annually in self-employment taxes alone, making it one of the highest ROI strategies requiring minimal ongoing effort.

Implementation:

- 1. File Form 2553 (Day 1-2):** Submit S-Corporation election to IRS for your Technology Consulting LLC. For 2026 effectiveness, file by March 15, 2026 (or within 75 days of entity formation if newly created). Include all required information: entity name, EIN, tax year, shareholder consent, and effective date.
- 2. Establish Reasonable Compensation (Month 1):** Determine appropriate W-2 salary based on industry standards for technology consulting services. For \$100,000-150,000 consulting revenue, reasonable salary typically \$50,000-75,000. Remaining profits taken as distributions. IRS examines salary adequacy based on duties performed, time devoted, and comparable compensation data.
- 3. Set Up Payroll Processing (Month 1):** Engage payroll service (Gusto, ADP, Paychex) to process W-2 wages, withhold payroll taxes, file quarterly 941 forms, and handle year-end W-2 preparation. Cost: \$50-100 monthly. Process payroll at least quarterly, preferably monthly for consistent cash flow and tax management.
- 4. Annual Compliance (Ongoing):** File Form 1120-S annually by March 15th (or September 15th with extension). Maintain corporate formalities including annual meetings, meeting minutes, and shareholder resolutions. Separate accounting for S-Corp activities from other business entities you own.

Requirements: Timely Form 2553 filing, payroll processing capability, separate business bank account, corporate record-keeping, reasonable compensation determination, annual 1120-S filing.

Value: \$3,000-12,000 annually in self-employment tax savings | **Priority:** Immediate Week 1 implementation | **Calculation Example:** \$100K consulting profit → \$60K salary (FICA: \$9,180) + \$40K distribution (FICA: \$0) = \$6,120 savings versus sole proprietorship ($\$100K \times 15.3\% = \$15,300$).

Strategy #3: Cost Segregation Study - \$20,000-\$75,000

Overview: Cost segregation reclassifies components of your short-term rental properties from 27.5-year residential property to accelerated 5, 7, and 15-year property schedules. Combined with 100% bonus depreciation (now permanent under OBBBA), this creates massive first-year deductions. For each STR property you furnish with \$30,000-50,000 in improvements, expect \$20,000-35,000 immediate tax deductions at your 40.75% rate equals \$8,150-14,262 tax savings per property.

Implementation:

- 1. Timing (Month 2-3):** Order cost segregation study after completing property furnishing and renovation but within the same tax year property is placed in service. Early implementation maximizes current-year benefit. Studies typically take 3-4 weeks to complete.
- 2. Hire Qualified Firm (Day 29):** Select cost segregation specialist with experience in residential rental properties. Provide detailed information: property purchase/lease details, renovation invoices, furnishing receipts, photographs, floor plans, and property listing information. Cost: \$3,000-6,000 per property for residential studies.
- 3. Asset Classification (Professional Completes):** Engineer reclassifies property components: furniture/appliances (5-year), carpets/blinds/landscaping (5-year), HVAC/plumbing (15-year), versus building structure (27.5-year). Typical breakdown: 30-40% of property improvements qualify for accelerated depreciation.
- 4. Tax Integration (Year-End):** Cost segregation results flow to Schedule E with detailed depreciation schedules. Bonus depreciation applies to all qualifying property placed in service, creating substantial first-year deductions. Combine with REP status to unlock deductions against W-2 income; without REP status, losses may be suspended as passive.

Requirements: Professional cost segregation study, detailed property records and receipts, property placed in service during tax year, supplemental depreciation schedules for tax return, REP status for non-passive loss treatment.

Value: \$20,000-75,000 in first-year deductions depending on number of properties and improvement levels | **Priority:** Q1 2026 after first property furnishing | **Cash Flow:** At 40.75% combined tax rate, deductions worth \$8,150-30,562 in actual tax savings.

Strategy #4: Section 179 Equipment Deduction - \$8,000-\$12,000

Overview: Section 179 allows immediate expensing of business equipment purchases rather than depreciating over multiple years. This strategy directly addresses your \$30,000 year-end tax liability by creating immediate deductions from technology equipment purchases your consulting business requires. At your 40.75% combined tax rate, \$30,000 equipment purchase equals \$12,225 tax savings, nearly eliminating your liability when combined with existing \$10,000 write-offs.

Implementation:

- 1. Identify Equipment Needs (Day 3-4):** Purchase business equipment before December 31, 2025 for current-year deduction. Focus on items needed for Technology Consulting LLC: computers, servers, monitors, camera equipment, video/audio recording gear, software licenses, office furniture, telecommunications equipment. Target \$30,000 total purchases for maximum current-year impact.
- 2. Documentation Requirements (Immediate):** Obtain detailed receipts showing: item description, purchase price, date placed in service, business use percentage. Photograph all equipment with serial numbers. If equipment has any personal use component, calculate and document exact business use percentage (must exceed 50% for Section 179 eligibility).
- 3. Asset Listing (Year-End):** Create comprehensive asset listing for tax preparer including: description, cost, date placed in service, business use percentage, Section 179 election amount. For vehicles over 6,000 lbs GVWR, special limits apply. Standard business equipment has \$1,220,000 annual limit (2025) making your \$30,000 purchase well within bounds.
- 4. Tax Form Completion (Tax Return):** Section 179 deduction appears on Form 4562 flowing to Schedule C for sole proprietorships or Form 1120-S for S-Corporations. Your tax

preparer completes this form, but you must provide accurate asset information and business use substantiation.

Requirements: Equipment purchased and placed in service by December 31, 2025, detailed purchase receipts, business use documentation, contemporaneous records, Form 4562 filing.

Value: \$8,150-12,225 in immediate tax savings | **Priority:** Critical for addressing 2025 tax liability | **Timing:** Must complete purchases by December 31, 2025 for 2025 tax year benefit. After year-end, strategy shifts to 2026 planning.

Strategy #5: Home Office Deduction - \$1,600-\$2,400

Overview: Deduct portion of home expenses for space used exclusively and regularly for business. With \$800,000 home owned free and clear, property taxes, insurance, utilities, and maintenance costs create substantial deductible base. Even modest 200-300 square foot dedicated office generates \$1,600-2,400 annual tax savings while requiring minimal documentation effort.

Implementation:

- 1. Designate Exclusive Space (Day 8-9):** Identify room or defined area used exclusively for business activities. Take detailed photographs showing business equipment, furniture, lack of personal items. Measure precise square footage. Calculate business percentage: $\text{office square footage} \div \text{total home square footage}$. Must meet exclusive use test - no personal activities in designated space.
- 2. Choose Calculation Method (Month 1):** Simplified method: \$5 per square foot up to 300 sq ft maximum = \$1,500 annual deduction, minimal documentation. Regular method: Calculate actual expenses (property taxes, insurance, HOA, utilities, repairs, maintenance, depreciation) $\times$ business use percentage. Regular method typically yields higher deduction for owned homes but requires detailed expense tracking.
- 3. Expense Documentation (Ongoing):** If using regular method, compile annual totals for: mortgage interest/property taxes, homeowners insurance, utilities (electric, gas, water, internet, phone), repairs and maintenance, depreciation (building value excluding land $\div$ 39 years $\times$ business percentage). Keep all receipts and statements for substantiation.
- 4. Principal Place Test (Ongoing):** Home office must be either principal place of business OR place where you regularly meet clients. For consulting business, home office likely qualifies as principal location for administrative and management activities even if services performed at client sites.

Requirements: Photographs documenting exclusive use, square footage measurements, expense receipts (regular method), business activity substantiation, Schedule C or Form 8829 reporting.

Value: \$1,600-2,400 annually at 40.75% tax rate | **Method Comparison:** Simplified: \$1,500 deduction = \$611 tax savings, zero documentation burden | Regular: \$4,000-5,000 deduction = \$1,630-2,037 tax savings, requires detailed tracking.

Strategy #6: Augusta Rule (14-Day Rental) - \$2,800-\$6,000

Overview: Section 280A(g) allows you to rent your personal residence to your own business for up to 14 days annually without reporting rental income. Your business deducts rental expense while you report zero income. With Newnan, GA market rates for executive homes and your \$800,000 property value, conservative \$500/day rate $\times$ 14 days = \$7,000 business deduction worth \$2,852 tax savings.

Implementation:

- 1. Market Rate Documentation (Day 10-11):** Research comparable rental rates for similar homes in Newnan, GA area used for business meetings, retreats, or events. Check HomeAway, VRBO, local hotels, and commercial venues for daily/event rates. Document 3-5 comparable properties showing \$400-700 daily range for executive meeting space in homes similar to yours.
- 2. Formal Rental Agreements (Month 1):** Create written rental agreement between your LLC entities and yourself as homeowner. Include property address, rental rate per day, dates rented, payment terms, and business purpose. Execute before each rental period. Payment from business checking account to personal account must occur and be documented.
- 3. Legitimate Business Use (Throughout Year):** Schedule 14 days of actual business meetings: strategic planning sessions, board meetings, client presentations, consulting sessions, technology training events. Document each event with: agenda, attendees, business purpose, meeting minutes, and photos. Events must be legitimate business activities, not disguised personal use.
- 4. Record Keeping (Ongoing):** Maintain rental log showing: date, business entity renting, rental amount paid, business purpose, attendees/participants, duration. Keep canceled

checks or bank transfers proving payment. Store photographs of meeting setup, whiteboards, presentation materials as evidence of business activity.

Requirements: Comparable rate documentation, written rental agreements, proof of payment, business purpose documentation, meeting minutes/agendas, no rental income reported on personal return, business deducts expense.

Value: \$2,800-6,000 annually depending on rate established | **Calculation:** Conservative 14 days $\times$ \$500/day = \$7,000 deduction $\times$ 40.75% = \$2,852 | Aggressive 14 days $\times$ \$700/day = \$9,800 deduction $\times$ 40.75% = \$3,993 | **Risk Management:** IRS scrutinizes this strategy; immaculate documentation essential.

Strategy #7: Backdoor Roth IRA (Both Spouses) - \$14,000 + Growth

Overview: High income eliminates direct Roth IRA contributions, but Backdoor Roth strategy circumvents income limits through non-deductible Traditional IRA contributions immediately converted to Roth. Both you and your spouse contribute \$7,000 each annually for total \$14,000 in tax-free growth accounts. While no immediate deduction, decades of compound growth and tax-free withdrawals in retirement create substantial value.

Implementation:

- 1. Open Traditional IRA Accounts (Day 12-13):** If needed, open Traditional IRA for each spouse at current retirement account custodian. Vanguard, Fidelity, Schwab all support Backdoor Roth process. Ensure no existing Traditional IRA balances exist for clean conversion avoiding pro-rata rule complications.
- 2. Non-Deductible Contribution (Immediately):** Contribute \$7,000 to each Traditional IRA (you and spouse) before April 15, 2026 for 2025 tax year or throughout 2026 for 2026 tax year. Mark contribution as non-deductible on Form 8606. Money should not be invested during the brief holding period before conversion to avoid gains complicating the process.
- 3. Roth Conversion (1-3 Days Later):** Convert entire Traditional IRA balance (\$7,000 per spouse) to Roth IRA. Because contribution was non-deductible and immediate conversion prevents gains, the conversion triggers zero tax liability. This is legal and supported by IRS, though Congress periodically discusses eliminating this strategy.
- 4. Annual Repetition (Every Year):** Repeat process annually: contribute \$7,000 per spouse to Traditional IRA, immediately convert to Roth. Over 10 years, \$140,000 total

contributions. At 8% average return, worth \$217,000 in Roth accounts. All growth and withdrawals tax-free in retirement.

Requirements: Traditional IRA accounts at major custodian, absence of existing Traditional IRA balances (to avoid pro-rata rule), Form 8606 filing documenting non-deductible contribution and conversion, separate IRA for each spouse.

Value: \$14,000 annual contributions grow tax-free for life | **Priority:** Week 2 implementation for 2025 tax year before April 15, 2026 deadline | **Long-Term Impact:** \$140,000 contributions over 10 years becomes \$217,000 at 8% return, all withdrawals tax-free.

Strategy #8: Management Company Structure - \$4,000-\$15,000

Overview: Create management company owned by lower-bracket family members that provides legitimate services to your operating businesses. By paying market-rate fees to this entity, you shift income from your 40.75% tax bracket to family members' lower brackets while deducting the expense in your high-tax entities. With spouse and adult children available, this structure provides both tax savings and involves family in your business operations.

Implementation:

1. **Entity Formation (Day 27-28):** Your existing Wyoming Holding Company can serve as management entity, or form new LLC owned by spouse and adult children. Define specific management services to provide: short-term rental management, marketing and advertising, bookkeeping and administration, technology support, client coordination, property maintenance oversight. Must provide real, substantive services.
2. **Service Agreements (Month 2):** Create written management agreements between operating entities (Technology Consulting LLC, Real Estate LLC) and management company. Specify services provided, fees charged (must be market-rate), payment terms, and termination provisions. Document that management company has authority and capability to perform services.
3. **Market Rate Documentation (Ongoing):** Research comparable rates for similar services: STR property management typically 15-25% of gross receipts, bookkeeping \$50-100/hour, marketing services \$75-150/hour, technology support \$50-100/hour. Ensure fees paid match market rates for services provided to withstand IRS scrutiny.

4. **Family Member Payroll (Monthly):** Management company employs spouse and adult children, paying W-2 wages for actual work performed. Spouse: \$30,000-50,000 annually for STR management and administration. Adult children: \$15,000-25,000 each for specific roles (turnover coordination, marketing, technology support). Must track hours and maintain detailed records of work performed.
5. **Operational Compliance (Ongoing):** Management company files separate tax return (Form 1065 if multi-member LLC or 1120-S if S-Corp). Maintains separate bank account, processes payroll for family employees, files quarterly 941 forms, and pays state/federal employment taxes. Operating entities deduct management fees reducing their taxable income at 40.75% rate.

Requirements: Separate legal entity formation, written service agreements, market rate documentation, time tracking for family members, payroll processing, separate bank accounts, substantiation of services performed, annual tax returns for management entity.

Value: \$4,000-15,000 annually through income shifting | **Calculation:** \$50,000 management fees deducted at 40.75% rate = \$20,375 tax savings, minus taxes paid by family members at lower rates (15-22%) = net \$9,000-14,000 benefit | **Priority:** Q2 2026 after STR operations established | **Family Involvement:** Provides legitimate roles for spouse and adult children while optimizing tax structure.

Primary Strategy Deep Dive: Short-Term Rental Income Generation

The short-term rental arbitrage model represents your highest-priority wealth-building strategy because it simultaneously addresses your three most critical needs: immediate monthly income to bridge retirement (\$2,000-4,000 per property), substantial tax deductions to offset any future W-2 income, and a scalable business model leveraging your available time and family resources. Unlike traditional real estate investing requiring \$80,000-150,000 down payments per property, the arbitrage approach needs only \$25,000-35,000 per unit for furnishing and initial costs, allowing you to deploy your liquid capital across 2-3 properties within 90 days.

Arbitrage Model Mechanics

Component	Details	Investment Required
Property Lease	2-3 bedroom unit in high-demand area, 12-month lease with subletting permission	\$3,000-5,000 (first month + deposit)
Furniture Package	Complete furnishing: beds, sofas, dining, kitchen, décor, linens, 4-8 sets per property	\$15,000-25,000 per property
Photography & Listing	Professional photos, Airbnb/VRBO setup, initial marketing, guidebook creation	\$1,000-2,000 per property
Tech Stack	PriceLabs (dynamic pricing), Hospitable (messaging), Properly (cleaning), August smart locks	\$1,000-1,500 per property
Insurance	Short-term rental insurance (Proper Insurance, CBIZ), liability coverage, annual policy	\$2,000-3,000 annually per property
Working Capital	3-month operating reserve for utilities, cleaning, maintenance, slow season buffer	\$5,000-7,000 per property
Total Per Property	Complete setup ready to accept bookings	\$27,000-43,000

Target Markets Within 2-Hour Radius

Atlanta Suburbs (Highest Volume): Midtown, Buckhead, Decatur, Virginia Highland - Strong business travel demand, consistent year-round bookings, average nightly rate \$150-250, typical occupancy 65-75%. Investment: \$30,000-35,000 per property. Expected net cash flow: \$2,500-3,500 monthly per unit.

North Georgia Mountains (Seasonal Premium): Blue Ridge, Helen, Ellijay, Dahlonega - Peak demand fall foliage and summer, weekend getaway market, average nightly rate \$200-350, typical occupancy 60-70%. Investment: \$35,000-45,000 per property. Expected net cash flow: \$2,000-4,000 monthly with strong seasonality.

Savannah Historic District (Tourism Focused): Victorian District, Forsyth Park area - Strong tourism demand, events and weddings, average nightly rate \$175-275, typical occupancy 65-75%. Investment: \$32,000-40,000 per property. Expected net cash flow: \$2,200-3,800 monthly per unit.

Financial Projections Per Property (Conservative)

Item	Monthly Amount	Annual Amount
Gross Revenue		
Average Nightly Rate	\$180	
Occupancy Rate	65%	
Booked Nights	19.5 nights	234 nights
Gross Rental Income	\$3,510	\$42,120
Operating Expenses		
Lease Payment to Landlord	\$1,500	\$18,000
Cleaning (20 cleanings × \$90)	\$180	\$2,160
Utilities (electric, water, internet, cable)	\$250	\$3,000
Platform Fees (Airbnb/VRBO 3%)	\$105	\$1,264
STR Insurance	\$200	\$2,400
Supplies (toiletries, coffee, linens replacement)	\$150	\$1,800
Maintenance & Repairs	\$200	\$2,400
Software Stack (PriceLabs, Hospitable)	\$75	\$900

Item	Monthly Amount	Annual Amount
Total Expenses	\$2,660	\$31,924
Net Operating Income	\$850	\$10,196
Furniture Depreciation (5-year)	\$333	\$4,000
Accelerated Depreciation (Cost Seg)	\$2,083	\$25,000
Taxable Income/Loss	-\$1,566	-\$18,804

Two-Property Scenario (Conservative):

- **Combined Monthly Cash Flow:** \$1,700 ($\850×2 properties)
- **Annual Cash Flow:** \$20,392
- **Annual Tax Loss:** \$37,608 (deductible against W-2 income with REP status)
- **Tax Savings:** $\$37,608 \times 40.75\% = \$15,325$
- **Total First-Year Benefit:** \$20,392 cash flow + \$15,325 tax savings = \$35,717

Real Estate Professional Status Strategy

Real Estate Professional (REP) status represents the key to unlocking passive rental losses against your W-2 income if you secure another technology position. Without REP status, rental losses remain "passive" and can only offset passive income, severely limiting their value. With REP status, losses become non-passive and can offset any income type including W-2 wages, creating substantial tax benefits. The pathway requires meeting three specific tests:

Test 1 - Material Participation (Per Property): You or your spouse must materially participate in each STR activity. For short-term rentals with average stays under 7 days and substantial services provided, material participation requires more than 100 hours AND more than any other person working on that property annually. This is substantially easier than the 500-hour requirement for traditional long-term rentals. Activities counting toward hours: guest

communication, pricing strategy, listing optimization, booking management, cleaning coordination, maintenance oversight, marketing, and bookkeeping.

Test 2 - 750 Hour Threshold: One spouse must spend more than 750 hours during the tax year in real property trades or businesses. This includes all real estate activities across all properties: acquisition research, showings, management, bookkeeping, marketing, maintenance, continuing education, and strategic planning. For two STR properties managed intensively, 750 hours equals approximately 15 hours weekly averaged over 50 weeks, making this achievable with dedicated focus.

Test 3 - More Than Half Test: The 750+ hours in real estate must represent more than 50% of all personal services performed by that spouse during the year. This is critical: if spouse works 750 hours in real estate but 1,000 hours at a W-2 job, the 50% test fails and REP status denied. The optimal structure: your spouse dedicates 100% time to STR management (easily achieving 750+ hours and 50%+ threshold) while you pursue technology consulting or new W-2 position. This allows REP status benefits while maintaining family income.

REP Status Documentation Requirements

IRS heavily scrutinizes REP claims given the substantial tax benefits. Contemporaneous documentation is not optional. Implement comprehensive time tracking system from day one:

- Daily time logs showing: date, property address, activity description, hours spent, business purpose
- Calendar integration documenting real estate activities throughout the year showing consistent weekly involvement
- Supporting documentation: emails with guests, maintenance invoices, cleaning schedules, pricing adjustments, booking confirmations
- Separation of time between different activities: acquisition, management, maintenance, administration
- Annual summary showing: total hours per property, total hours across all real estate, percentage of total working hours in real estate

Tools: Everlance, MileIQ, or simple Google Sheets with disciplined daily entry. The 10 minutes daily spent documenting activities protects potentially \$15,000-30,000 annual tax benefits.

Scaling Timeline

Month 1-2 (Foundation): Lease and furnish first STR property in Atlanta suburbs. Focus on single property to learn operations: guest management, cleaning coordination, pricing optimization, platform algorithms. Target 60% occupancy first 30 days while refining systems. Your spouse dedicates 20-25 hours weekly to master property management before scaling.

Month 3-4 (Proof of Concept): With first property stabilized at 65-70% occupancy generating \$2,000-2,500 monthly net income, lease and furnish second property. Leverage lessons learned on furniture selection, cleaning vendor relationships, and pricing strategy. Implement management software (Hospitable for messaging, PriceLabs for dynamic pricing) to handle multiple properties efficiently.

Month 5-6 (Optimization): With two properties operating, refine systems for efficiency. Hire virtual assistant (\$400-600 monthly) for guest communication, allowing your spouse to focus on pricing strategy, acquisition research, and higher-value activities. Commission cost segregation studies on both properties to maximize current-year depreciation deductions. Evaluate third property acquisition if cash flow and time availability support expansion.

Month 7-12 (Maturity): Portfolio of 2-3 STR properties generating \$4,000-9,000 combined monthly income (\$48,000-108,000 annually). Your spouse accumulates 750+ hours REP status with detailed time logs. Combined with cost segregation deductions, portfolio generates \$30,000-50,000 tax losses offsetting any W-2 income. System operates efficiently requiring 15-20 hours weekly ongoing management with established vendor relationships and refined processes.

Investment Allocation Plan

Your investment strategy balances three objectives: immediate income generation through short-term rentals and consulting, strategic Bitcoin accumulation for long-term wealth building, and diversified holdings through index funds providing stability and downside protection. The

allocation repositions your concentrated technology stock holdings (gradually selling as positions reach long-term capital gains status) into a more diversified portfolio aligned with both your retirement timeline and risk tolerance.

Allocation Strategy

Asset Category	Allocation %	Dollar Amount	Strategy & Timeline
Bitcoin	35%	\$87,500	Increase from current <1% position to strategic holding. Dollar-cost average over 6-12 months. Use tax-advantaged accounts where possible. Target: 1.0-1.5 BTC depending on entry timing.
Short-Term Rental Investment	30%	\$75,000	Arbitrage model: lease + furnish 2-3 properties. First property: \$30,000, Second property: \$28,000, Third property: \$17,000 (if pursuing). Generates \$24,000-48,000 annual income + tax deductions.
Index Funds (VTI/VXUS)	25%	\$62,500	70% VTI (US total market), 30% VXUS (international). Provides diversification and lower volatility. Rebalance quarterly. Expected 8-10% long-term return.
Cash Reserve (Opportunity Fund)	10%	\$25,000	High-yield savings account earning 4-5%. Available for: STR working capital needs, consulting business expenses, opportunistic investments, family emergencies beyond primary emergency fund.

Asset Category	Allocation %	Dollar Amount	Strategy & Timeline
Total Capital Deployment	100%	\$250,000	Source: Current liquid capital \$100-249K + gradual tech stock sales over 3-5 years

Technology Stock Repositioning Strategy

Your technology stock holdings from your former employer represent both an asset (substantial value in brokerage/retirement accounts) and a concentration risk requiring systematic repositioning. The strategy focuses on tax-efficient liquidation avoiding large capital gains events while gradually diversifying into your target allocation.

Year 1 (2026): Identify positions held over 12 months qualifying for long-term capital gains treatment (15-20% tax rate versus 35% ordinary income). Sell approximately \$50,000 in long-term holdings. Use standard deduction (\$29,200 for married filing jointly in 2025, indexed annually) and lower tax brackets (10%, 12%) to minimize effective tax rate. Proceeds: 50% to Bitcoin (\$25,000), 30% to additional STR property (\$15,000), 20% to index funds (\$10,000).

Year 2-3: Continue \$50,000 annual strategic sales as additional positions reach long-term status. By year 3, sold \$150,000 total from concentrated position. Combined with cost segregation losses and STR deductions offsetting gains, effective tax rate on sales minimized to 10-15% versus 35% if sold all at once while earning W-2 income. Diversification achieved incrementally without triggering massive tax bill.

Year 4-5: Complete repositioning with final \$100,000-150,000 sales. At this stage, consulting business and STR portfolio generating sufficient income to support lifestyle without liquidating remaining positions. Can hold indefinitely for long-term appreciation or continue measured sales funding Bitcoin accumulation and portfolio rebalancing.

Bitcoin Accumulation Strategy

Target position of \$87,500 (35% of deployment capital) represents strategic allocation generating potential outsized returns while understanding higher volatility compared to traditional assets. At current Bitcoin prices (\$95,000-105,000 range as of December 2025), this equals approximately 0.9-1.0 BTC depending on timing of purchases.

Dollar-Cost Averaging Plan: Rather than single \$87,500 purchase creating timing risk, deploy capital systematically: \$14,500 monthly over 6 months OR \$7,250 biweekly over 12 months. This approach averages out volatility, reduces emotional decision-making during price swings, and provides discipline to complete target allocation regardless of short-term price movements.

Acquisition Channels: Coinbase Pro or Kraken for spot purchases minimizing fees (0.1-0.5% vs 1.5-2% on basic platforms). For larger purchases over \$10,000, consider Swan Bitcoin (\$0.99 flat fee) or River Financial. Avoid Bitcoin ETFs in taxable accounts due to K-1 complexity and higher expense ratios; direct ownership provides better tax treatment and eliminates counterparty risk.

Storage & Security: First \$20,000: Keep on reputable exchange (Coinbase, Kraken) for liquidity and ease of access. Beyond \$20,000: Transfer to hardware wallet (Ledger, Trezor) for self-custody eliminating exchange risk. Implement proper security: seed phrase backup in fireproof safe, second backup location (safe deposit box), never digital storage of seed phrases. Consider multisig wallet when holdings exceed \$100,000 for additional security layer.

Tax Optimization: Bitcoin held over 12 months qualifies for long-term capital gains treatment (15-20% vs 35% ordinary income). This creates future optionality: can selectively harvest gains in low-income years paying minimal tax. Losses can be harvested to offset other gains using wash-sale workaround (Bitcoin not considered security, so 30-day wash-sale rule doesn't apply). Consider Roth IRA Bitcoin exposure through Bitcoin futures ETFs for completely tax-free gains though this has implementation complexity.

Index Fund Implementation

\$62,500 allocated to diversified index funds (25% of portfolio) provides stability, downside protection, and consistent returns uncorrelated to Bitcoin volatility and STR income streams. This allocation serves as portfolio ballast during turbulent markets while generating reliable long-term returns.

Recommended Allocation: 70% Vanguard Total Stock Market ETF (VTI) = \$43,750 capturing entire US equity market across all capitalizations. 30% Vanguard Total International Stock ETF (VXUS) = \$18,750 providing international diversification across developed and emerging markets. This simple two-fund portfolio captures global equity returns with minimal expense ratios (0.03% VTI, 0.07% VXUS) and eliminates need for active management or complex rebalancing.

Account Location: Prioritize tax-advantaged accounts (IRA, 401k) for index fund holdings maximizing tax-free growth. If held in taxable brokerage, both VTI and VXUS are tax-efficient with low turnover and qualified dividend treatment. Avoid target-date funds or actively managed funds with higher expense ratios (0.5-1.0%) that underperform low-cost index alternatives over time.

Rebalancing Strategy: Review allocation quarterly. If any position deviates more than 10% from target (e.g., Bitcoin surges to 45% of portfolio), rebalance by selling outperformers and buying underperformers. This forces disciplined "sell high, buy low" approach. Use new capital from STR income or consulting earnings for rebalancing rather than triggering taxable sales when possible. Annual rebalancing acceptable if portfolio remains within acceptable ranges.

Portfolio Performance Scenarios

Conservative Scenario (5-Year Projection):

- Bitcoin: \$87,500 → \$175,000 (15% CAGR) = \$87,500 gain
- STR Properties: \$75,000 initial + \$120,000 cumulative cash flow = \$195,000
- Index Funds: \$62,500 → \$100,000 (10% CAGR) = \$37,500 gain
- Cash Reserve: \$25,000 → \$30,000 (interest earnings)
- **Total Portfolio Value: \$500,000**

Aggressive Scenario (5-Year Projection):

- Bitcoin: \$87,500 → \$350,000 (32% CAGR) = \$262,500 gain
- STR Properties: \$75,000 initial + \$240,000 cumulative cash flow (3 properties) = \$315,000
- Index Funds: \$62,500 → \$110,000 (12% CAGR) = \$47,500 gain
- Cash Reserve: \$25,000 → \$32,000 (interest + additional savings)
- **Total Portfolio Value: \$809,000**

Year-One Value Breakdown

Comprehensive First-Year Benefit Analysis

Benefit Category	Conservative	Aggressive	Notes
TAX STRATEGY SAVINGS			
Short-Term Rental + REP Status	\$15,000	\$80,000	Conservative: 1 property basic participation Aggressive: 2 properties full REP + cost seg
S-Corporation Election	\$3,000	\$12,000	Based on \$60K-\$150K consulting income levels
Cost Segregation Study	\$20,000	\$75,000	Conservative: 1 property Aggressive: 2 properties with extensive improvements
Section 179 Equipment	\$8,000	\$12,000	\$20K-\$30K equipment purchases at 40.75% rate
Home Office Deduction	\$1,600	\$2,400	Regular method with owned home
Augusta Rule (14-Day Rental)	\$2,800	\$6,000	\$500-\$700 daily rate × 14 days
Backdoor Roth IRA	\$14,000	\$14,000	\$7K × 2 spouses - value in tax-free growth, not immediate savings
Management Company	\$4,000	\$15,000	Income shifting to lower-bracket family members

Benefit Category	Conservative	Aggressive	Notes
Structure			
Tax Strategy Subtotal	\$54,400	\$202,400	
BUSINESS INCOME GENERATION			
STR Net Cash Flow	\$24,000	\$48,000	Conservative: 2 properties @ \$1K/mo each Aggressive: 3 properties @ \$4K/mo each
Technology Consulting (Net)	\$40,000	\$80,000	Conservative: PT 10-15 hrs/wk Aggressive: FT 25-30 hrs/wk
Income Subtotal	\$64,000	\$128,000	
PORTFOLIO POSITIONING			
Bitcoin Allocation	\$87,500	\$87,500	Initial deployment - future appreciation potential
Index Fund Allocation	\$62,500	\$62,500	Diversification - steady growth component
YEAR-ONE COMBINED BENEFIT	\$118,400	\$330,400	Tax Savings + Cash Flow + Income

Five-Year Cumulative Impact

\$780,000 - \$1,950,000

Conservative to Aggressive Scenario Projections

Realistic vs. Aggressive Scenario Analysis

Conservative Scenario Assumptions: Part-time consulting engagement (10-15 hours weekly, \$100,000 gross revenue, \$40,000 net after expenses). Two STR properties with moderate occupancy (65%) generating \$2,000 monthly combined net cash flow. Basic tax strategy implementation without full REP status qualification in year one. Single cost segregation study. Total first-year benefit \$118,400 representing a floor of what's achievable with measured execution and typical market conditions.

Aggressive Scenario Assumptions: Full-time consulting focus (25-30 hours weekly, \$150,000+ gross revenue, \$80,000 net after expenses). Three STR properties with strong occupancy (70-75%) generating \$4,000 monthly combined net cash flow. Full REP status achieved with meticulous documentation. Multiple cost segregation studies maximizing depreciation deductions. Management company fully implemented shifting income to family members. Total first-year benefit \$330,400 achievable with dedicated execution and favorable conditions but requiring significant time investment and operational excellence.

Most Likely Outcome: Hybrid approach landing in middle: \$180,000-220,000 first-year benefit combining moderate consulting success (\$60,000 net), two high-performing STR properties (\$36,000 annual net cash flow), and aggressive tax strategy implementation (\$90,000-120,000 deductions). This represents your probable path given available time, spouse involvement, and established business foundation with existing LLCs and professional relationships.

Implementation Timeline

Days 1-7: Foundation & Immediate Tax Relief

File S-Corporation election for consulting LLC immediately setting stage for 2026 self-employment tax savings. Purchase \$30,000 technology equipment under Section 179

addressing your current-year \$30,000 tax liability. Open dedicated business banking accounts ensuring clean entity separation. Schedule comprehensive CPA meeting reviewing entity structure optimization and documentation requirements.

○ **Days 8-14: Documentation Systems & Roth Contributions**

Document home office with photographs and measurements establishing deduction foundation. Research Augusta Rule comparable rates and create rental agreements. Initiate Backdoor Roth IRA contributions for both spouses (\$14,000 total) maximizing tax-free growth accounts. Implement expense tracking system across all business entities using QuickBooks or similar platform.

○ **Days 15-21: STR Property Sourcing & Analysis**

Research short-term rental markets identifying 5-8 potential properties for arbitrage model within 2-hour radius. Run detailed pro-forma analysis on top candidates calculating expected cash flow and returns. Connect with property management software providers setting up trial accounts. Meet with real estate attorney reviewing lease requirements and liability protection.

○ **Days 22-30: First Property Launch**

Execute lease on first STR property securing landlord permission for arbitrage operation. Order furniture and furnishings (\$20,000-35,000 budget) working with designer or STR furnishing service. Establish management company structure with spouse and adult children on payroll. Schedule cost segregation study for completion after furnishing. Create comprehensive time tracking system for REP status qualification.

○ **Month 2-3: Operations & Second Property**

Complete first property furnishing and list on Airbnb/VRBO platforms with professional photography. Target 60% initial occupancy while optimizing pricing and guest experience. Refine cleaning and turnover processes with vendor relationships. If first property performing well, initiate second property acquisition repeating sourcing and setup process. Commission cost segregation study on first property.

○ **Month 4-6: Scaling & Optimization**

With 1-2 properties operational, implement management software (PriceLabs, Hospitable) for efficiency at scale. Hire virtual assistant for guest communication if needed. Complete cost segregation on all properties maximizing current-year deductions. Evaluate third property acquisition based on available capital and time capacity. Ensure spouse tracking sufficient hours toward 750 annual requirement.

○ **Month 7-12: Maturity & Tax Planning**

Portfolio stabilized at 2-3 properties generating consistent \$4,000-9,000 monthly combined income. Spouse achieves 750+ hours REP status with detailed time logs. Combined tax strategies generating \$40,000-80,000 deductions offsetting consulting or future W-2 income. Prepare comprehensive year-end tax planning with CPA optimizing estimated payments and final strategy execution. Review five-year roadmap and adjust based on first-year results.

Action Plan: Next 48 Hours

Critical Immediate Actions

1. **File S-Corporation Election:** Download Form 2553 from IRS.gov, complete all required fields including shareholder consent, file electronically or certified mail with signature confirmation. This single action saves \$3,000-12,000 annually and takes 30 minutes to complete.
2. **Purchase Section 179 Equipment:** Order necessary technology equipment totaling approximately \$30,000 (computers, cameras, video equipment, software licenses, office furniture). Must complete purchases and receive delivery by December 31, 2025 for current tax year deduction. This directly addresses your \$30,000 tax liability.
3. **Schedule CPA Meeting:** Contact your CPA immediately scheduling comprehensive tax planning session within next 7-10 days. Agenda: entity structure optimization, S-Corp reasonable compensation guidance, Section 179 documentation requirements, year-end estimated payment review, 2026 strategy approval.

4. **Open Business Bank Accounts:** If not already established, open separate checking accounts for Technology Consulting LLC and Real Estate LLC at local bank or online platform (Mercury, Novo). Transfer initial operating capital (\$5,000-10,000 per entity) establishing clean financial separation between entities.
5. **Document Home Office:** Photograph your dedicated office space from multiple angles, measure precise square footage, document exclusive business use. Calculate business percentage of home. This 20-minute task establishes \$1,600-2,400 annual deduction foundation.

Week One Detailed Checklist

Day	Action Item	Time Required	Owner
1	File S-Corp election (Form 2553)	30 minutes	You
1	Research Section 179 equipment needs	2 hours	You
2	Order technology equipment (\$30K)	3 hours	You
2	Open business checking accounts	1 hour	You
3	Document home office (photos, measurements)	30 minutes	You
3	Research Augusta Rule comparable rates	1 hour	Spouse
4	Schedule CPA tax planning meeting	15 minutes	You
4	Contact IRA custodian for Backdoor Roth	30 minutes	You
5	Set up QuickBooks expense tracking	2 hours	You
5	Research STR markets (Atlanta, North GA)	3 hours	Spouse
6	Create formal Augusta Rule rental agreements	1 hour	You

Day	Action Item	Time Required	Owner
6	Identify 5-8 potential STR properties	4 hours	Spouse
7	Complete CPA meeting agenda preparation	1 hour	You
7	Contact real estate attorney for STR guidance	30 minutes	You

Professional Team Assembly

Successful implementation requires assembling a team of qualified professionals who understand your specific strategies, business structure, and compliance requirements. This section outlines the key roles, recommended qualifications, and expected costs for each professional relationship.

Essential Professionals

CPA / Tax Strategist (CRITICAL):

- Must have experience with: S-Corporation elections and reasonable compensation, short-term rental strategies and REP status qualification, cost segregation studies and bonus depreciation, multi-entity structure optimization
- Proactive tax planning approach (not just historical return preparation)
- Expected cost: \$3,000-6,000 annually for comprehensive planning and preparation
- Current status: You indicated working with proactive CPA - confirm expertise in STR/REP strategies

Cost Segregation Specialist:

- Engineering-based firm (not tax-only) with residential rental property experience
- Recommendations: Madison SPECS, Cost Seg America, Engineered Tax Services
- Expected cost: \$3,000-6,000 per property study
- Timing: Order study within 60 days of property furnishing completion

Real Estate Attorney:

- Specialization in landlord-tenant law and short-term rental regulations
- Georgia-licensed with experience in arbitrage lease agreements
- Services needed: Lease review, subletting clause negotiation, liability structure, entity formation review
- Expected cost: \$1,500-3,000 for initial consultation and document review; \$250-400/hour ongoing

Financial Advisor:

- Current status: You're working with financial advisor - confirm fee-only structure and fiduciary standard
- Needed expertise: Bitcoin allocation strategies, tax-loss harvesting, retirement account optimization
- Expected cost: 0.5-1.0% AUM annually OR flat fee \$3,000-6,000 for planning
- Ensure no conflicts of interest with product sales commissions

Supporting Service Providers

Payroll Processing Service:

- Recommendations: Gusto (\$50-100/month), ADP, Paychex
- Handles: W-2 processing, quarterly 941 filings, year-end reporting, state compliance
- Essential for S-Corp reasonable compensation and management company payroll

Bookkeeping Support:

- QuickBooks setup and monthly reconciliation for multiple entities
- Cost: \$300-600/month for multi-entity structure OR DIY with QuickBooks Online
- Can train family member on management company payroll for cost savings

Short-Term Rental Vendors:

- Cleaning service: \$80-120 per turnover, must respond within 11am-3pm window for same-day bookings

- Maintenance handyman: Reliable on-call availability, \$50-75/hour plus materials
- Photographer: \$200-400 for professional listing photos (one-time per property)
- Interior designer/furnishing service: \$2,000-4,000 for complete turnkey furnishing

Success Milestones & Progress Tracking

30-Day Milestones

- S-Corporation election filed and confirmed by IRS
- Section 179 equipment purchased and received (\$30,000 total)
- Home office documented with photographs and measurements
- Backdoor Roth IRA contributions completed for both spouses (\$14,000)
- QuickBooks or expense tracking system operational
- First STR property identified and lease agreement executed
- Furniture ordered for first property (\$20,000-35,000)
- Time tracking system implemented for REP status qualification

90-Day Milestones

- First STR property fully furnished and listed on Airbnb/VRBO
- First booking completed with 5-star guest review
- 60%+ occupancy achieved on first property
- \$2,000+ net monthly income generated from first STR
- Cost segregation study ordered for first property
- Second STR property lease executed and furnishing underway
- Spouse accumulated 200+ hours toward REP 750-hour requirement
- Management company structure established with family on payroll
- First consulting contract secured generating \$15,000+ revenue

Six-Month Milestones

- Two STR properties operational with 65-70% combined occupancy
- \$4,000+ combined monthly net income from STR portfolio
- Cost segregation studies completed generating \$40,000-60,000 deductions
- Spouse on track for 750+ annual hours (375 hours accumulated by mid-year)
- Consulting business generating \$40,000-60,000 semi-annual revenue
- S-Corp payroll processing established with reasonable compensation
- Augusta Rule partial-year implementation (7+ days completed)
- Bitcoin allocation 50% deployed through dollar-cost averaging

One-Year Success Criteria

- **Income Achievement:** \$64,000-128,000 combined from STR cash flow + consulting net income
- **Tax Reduction:** \$54,400-202,400 in tax savings through implemented strategies
- **REP Status:** Spouse documents 750+ hours in real estate with detailed time logs
- **Portfolio Position:** Bitcoin allocation complete (\$87,500), index funds established (\$62,500)
- **Entity Optimization:** S-Corp election effective, management company operational, clean entity separation
- **Scalability:** Systems in place to add third STR property or scale consulting practice in year two
- **Financial Security:** Income streams replacing prior W-2 salary supporting lifestyle without portfolio liquidation
- **Tax Liability:** 2026 year-end tax liability eliminated or minimized through strategic deductions

Appendices

Appendix A: Key Tax Forms & Filings

Form	Purpose	Deadline
Form 2553	S-Corporation Election	March 15, 2026 (or 75 days from formation)
Form 1120-S	S-Corporation Annual Return	March 15 annually (Sept 15 with extension)
Schedule E	Rental Income & Losses	April 15 with Form 1040
Form 8582	Passive Activity Loss Limitations	April 15 with Form 1040
Form 4562	Depreciation & Section 179	April 15 with Form 1040
Form 8606	Backdoor Roth IRA (Non-deductible IRA)	April 15 with Form 1040
Form 941	Quarterly Payroll Tax Return	Quarterly (April 30, July 31, Oct 31, Jan 31)
Form 8829	Home Office Expenses	April 15 with Form 1040

Appendix B: Short-Term Rental Tech Stack

Tool	Purpose	Cost
PriceLabs	Dynamic pricing optimization	\$19-49/month per property
Hospitable	Unified inbox, automated messaging	\$20-50/month per property
Properly	Cleaning coordination and inspection	\$8-15/month per property

Tool	Purpose	Cost
August Smart Locks	Keyless entry with code generation	\$200-280 one-time per property
Nest Thermostats	Remote climate control	\$130-250 one-time per property
Ring Doorbell	Security and guest verification	\$100-250 one-time per property
AirDNA	Market research and comp analysis	\$20-50/month

Appendix C: Monthly Cash Flow Tracker Template

Track each property's performance separately using this format:

- Gross Rental Income (total bookings)
- Minus: Platform fees (Airbnb/VRBO 3%)
- Minus: Lease payment to landlord
- Minus: Utilities (electric, water, internet, cable)
- Minus: Cleaning costs (number of cleanings × rate)
- Minus: Supplies (toiletries, coffee, paper products)
- Minus: Maintenance and repairs
- Minus: Insurance (monthly portion)
- Minus: Software subscriptions
- Equals: Net Operating Income

Calculate monthly and review quarterly to identify trends, optimization opportunities, and ensure profitability targets met.

Important Legal Information

Tax & Legal Guidance: This wealth plan provides general educational information about tax strategies and wealth-building approaches. It is not tax, legal, or financial advice specific to your individual circumstances. Tax laws are complex and subject to change. Implementation of any strategy discussed in this plan should only occur after consultation with qualified tax and legal professionals licensed in your jurisdiction who can evaluate your specific situation and provide personalized guidance.

Professional Relationships: You are working with your own CPA, financial advisor, and attorney. This plan is designed to work in coordination with these professionals, not replace their services. All strategies should be reviewed and approved by your professional team before implementation. Your professionals may identify issues, limitations, or alternatives not addressed in this general educational plan.

No Guarantees: All financial projections, tax savings estimates, and income projections in this plan are hypothetical examples based on stated assumptions. Actual results will vary based on numerous factors including but not limited to: changes in tax laws, market conditions, property performance, business income levels, personal circumstances, and implementation quality. Past performance does not guarantee future results.

Investment Information: Any discussion of investments including Bitcoin, real estate, or securities is educational only and not investment advice or a recommendation to buy or sell any specific security or investment. Investments involve risk including possible loss of principal. Diversification does not ensure profit or guarantee against loss. You should consult with licensed investment professionals before making investment decisions.

Real Estate Considerations: Short-term rental strategies discussed involve business and real estate risks including but not limited to: property damage, liability exposure, regulatory changes, zoning restrictions, occupancy fluctuations, and market downturns.

Proper insurance, legal structure, and local compliance are essential. Results vary significantly by market, property, and management quality.

Compliance Responsibility: You are solely responsible for compliance with all applicable federal, state, and local laws including tax regulations, business licensing, zoning ordinances, and reporting requirements. This plan does not constitute legal advice regarding compliance with any specific law or regulation. Consult appropriate legal and tax professionals to ensure compliance.

Documentation Requirements: All tax strategies discussed require proper documentation, substantiation, and adherence to IRS regulations. Inadequate documentation may result in strategy disallowance upon audit. Work with your CPA to ensure all documentation requirements are met and maintained according to IRS standards.

Plan Currency: This plan was prepared in December 2025 based on tax laws and regulations in effect at that time. Tax laws change frequently through legislation, regulation, and court decisions. Some strategies discussed may be modified or eliminated by future law changes. Annual review with your tax professional ensures plan remains current and effective.

Personal Circumstances: This plan is based on information you provided. Changes in your income, family situation, business operations, assets, liabilities, or goals may require plan modifications. Notify your professional team of any material changes in circumstances that might affect strategy appropriateness or implementation.

Last Updated: December 2025

Prepared: December 2025

This is a living document. Review quarterly with your professional team and update as circumstances change.